

Organisational Culture, Stakeholders & Governance — Lecture Notes

Week 5 · Internal Analysis · Cultural Web · Agency Theory · Corporate Governance

Part 1

Organisational culture — what it is and why it matters

Culture is part of internal analysis. It describes the ideology of an organisation — what the people inside it believe, how they behave, and why. It is one of the most powerful and least visible sources of competitive advantage.

What is organisational culture?

- Culture is the shared beliefs, values, behaviours, and assumptions that guide how people act inside an organisation — without needing to be told
- It is expressed in a company's mission statement, but more importantly in its actual behaviour — what it rewards, who it promotes, and how decisions are made
- Cultures are shaped by two forces: geography (where the organisation operates) and history (who founded it and what problems they were solving)
- The founder's values and assumptions at the time of founding tend to permanently shape the organisation's culture — even decades later
- Studied through anthropology — the scientific observation of human behaviour in context (ethnography)

REAL-WORLD EXAMPLE — APPLE

Apple's culture was shaped by Steve Jobs' founding belief that design and simplicity are non-negotiable. Decades after his death, Apple still makes decisions — product line cuts, no user-replaceable batteries, a single button interface — that trace directly to that founding ideology. New employees absorb it without being explicitly taught it. That is organisational culture in action.

Why culture matters strategically

- Research consistently shows that companies with strong, aligned cultures outperform those with weak or contradictory ones (Peters & Waterman, McKinsey 7-S)
- Culture coordinates behaviour without supervision — like cars stopping at a red light, no manager is needed
- Culture is extremely difficult for competitors to copy — unlike technology, pricing, or processes, which can be replicated quickly
- This makes culture a potential source of sustained competitive advantage (Barney, 1991 — resource-based view)
- However, the same properties that make culture powerful also make it dangerous when the environment changes

Important for assignment: cultural analysis is part of internal analysis. However, it is very difficult to assess from outside the organisation. The lecturer does not expect this to feature prominently in your assignment — but understanding it is essential for the exam and for real consulting work.

Part 1b

Key properties of culture

Culture works precisely because it does not change quickly. This is its greatest strength and its greatest danger.

Property	Why it matters	Real-world implication
Culture is static by design	Stability allows coordination — people know what to expect. You cannot learn a new language every day.	Cultural change is gradual (years, decades). Fast-forced change is resisted and often fails.
Culture is invisible to insiders	People inside a culture rarely question it — it feels natural, not chosen.	This is why external consultants are often hired — insiders can't see their own blind spots.
Culture guides behaviour without instruction	Employees act in culturally consistent ways without being told — saving huge management overhead.	Amazon's 'Day 1' culture means employees default to speed and ownership without needing approval chains.
Culture is different, not better or worse	No culture is objectively superior — the only question is whether it fits the organisation's context.	A military-style hierarchy may be perfect for a construction firm but destructive in a creative agency.
Contradictory culture creates conflict	When what a company says it values contradicts what it actually rewards, trust and engagement collapse.	Company says 'we promote on merit' but data shows 78% of senior roles go to men — contradiction causes disengagement.

CHARLES HANDY — UNDERSTANDING ORGANISATIONS

Charles Handy identified four cultural archetypes in his influential book 'Understanding Organisations':

1. Power culture (Zeus) — centralised around a powerful individual or small group. Fast decisions, high risk if leader fails. Common in entrepreneurial start-ups.
2. Role culture (Apollo) — highly structured, rules-driven bureaucracy. Stable, predictable, slow to change. Common in banks, government agencies.
3. Task culture (Athena) — organised around projects and expertise. Flexible, collaborative, high performance. Common in consulting and tech.
4. Person culture (Dionysus) — individuals are primary, organisation exists to serve them. Common in law firms, architecture practices, academia.

Handy's formula: $B = f(P \times E)$ — Behaviour is a function of Personality multiplied by Environment. You cannot easily change personality, but you CAN change the environment — and the behaviour will follow.

Part 1c

The Cultural Web — framework for cultural analysis

The Cultural Web (Johnson & Scholes, 1992) is the standard framework for analysing organisational culture. It identifies six elements that together create and sustain the organisation's paradigm — its shared assumptions about how things work.

Element	What it reveals	Example
Stories	The narratives employees tell about the organisation — who the heroes are, what successes and failures are celebrated	Amazon's story of Jeff Bezos printing out customer emails and forwarding them with '?' to the responsible team — signals obsessive customer focus
Symbols	The visible artefacts of culture — office layout, dress code, language, logos, perks	Google's open campuses with free food signal 'we want you here and happy'. Goldman Sachs' formal dress code signals hierarchy and professionalism
Power structures	Where real decision-making power sits — not always where the org chart says	In many tech firms, engineers hold more real power than HR or finance — this shapes every decision
Organisational structure	How the hierarchy is arranged — flat vs tall, centralised vs decentralised	Valve (gaming company) has no managers and a completely flat structure — radical even for tech
Control systems	What is measured, monitored, and rewarded — the real signal of what the organisation values	If sales targets are the only KPI that gets people promoted, the culture will be sales-obsessed regardless of what the mission statement says
Rituals and routines	The standard day-to-day behaviours and ceremonies that reinforce culture	Daily stand-ups at tech firms, Friday all-hands at Stripe, annual town halls — these rituals signal what matters

The Cultural Web is hard to apply from outside the organisation. In your assignment, focus on observable signals — leadership behaviour, what the company publicly rewards, staff reviews on Glassdoor, and mission statement vs actual decisions. These are your proxies for culture.

Part 2

Stakeholder theory — from shareholders to stakeholders

One of the most important shifts in strategic thinking since the 1980s: organisations are no longer considered responsible only to their shareholders (owners). They are responsible to a wide range of stakeholders with different and often competing interests.

Shareholder theory vs stakeholder theory

- Shareholder theory (Friedman, 1970): the sole purpose of a company is to maximise profit for its owners. All other considerations are secondary.
- Stakeholder theory (Freeman, 1984): the organisation has obligations to all groups who affect or are affected by it — employees, customers, suppliers, communities, governments, the environment
- This shift gave rise to Corporate Social Responsibility (CSR), sustainability reporting, and the Triple Bottom Line
- Triple Bottom Line (Elkington, 1994): organisations should report on three dimensions — Profit, People, and Planet
- Sustainability means meeting today's needs without compromising future generations' ability to meet their own

REAL-WORLD EXAMPLE — THE SHIFT IN ACTION

In 2019, the Business Roundtable (181 US CEOs including Amazon, Apple, JPMorgan) formally abandoned the shareholder primacy doctrine and signed a statement committing to stakeholder capitalism — serving customers, employees, suppliers, communities, and shareholders equally. This was a seismic shift in official corporate ideology, even if implementation remains inconsistent.

Who are stakeholders? — key examples for a large organisation

- Shareholders / investors — return on capital
- Employees — fair pay, job security, good working conditions
- Customers — quality products, fair pricing, data privacy
- Suppliers — fair payment terms, long-term contracts
- Government / regulators — tax compliance, legal compliance
- Local communities — jobs, environmental impact
- NGOs and media — transparency, social and environmental responsibility
- Competitors — industry norms, trade associations

Part 2b

Stakeholder mapping — the Power/Interest matrix

Not all stakeholders matter equally on every issue. Stakeholder mapping identifies who has power and who has interest in a specific decision — so you know where to focus your influence.

Quadrant	Power	Interest	Strategy	Example
Manage closely	High	High	Engage actively, communicate frequently, involve in decisions	Shareholders during an acquisition; senior management of target company

Keep satisfied	High	Low	Inform regularly but don't over-involve; they can become blockers if ignored	Government regulators; institutional investors not directly affected
Keep informed	Low	High	Communicate updates; they care but can't stop things	Employees of acquired company; customers of the product being changed
Monitor	Low	Low	Minimal engagement needed; watch for changes in their position	General public; unrelated industry groups

APPLIED EXAMPLE FROM LECTURE — MICROSOFT ACQUIRING ACTIVISION

Who are the key stakeholders and what is their position? Senior managers at Activision (HIGH power, HIGH interest) → They may lose their jobs. These are the people who can block or enable the deal. Microsoft must convince or compensate them. Key focus. Shareholders of Activision (HIGH power, HIGH interest) → They get paid a premium for their shares. Generally supportive. Must be formally voted in favour. Shareholders of Microsoft (HIGH power, MEDIUM interest) → They are paying for the deal. They want to know it creates value. Must be convinced the price is right. Employees of Microsoft (LOW power, LOW interest) → Not directly affected. Monitor only. Employees of Activision (LOW power, HIGH interest) → May worry about redundancies. Keep informed, communicate early to prevent talent flight. Lesson: different stakeholders have different interests on the same issue. Mapping tells you exactly where to spend your influence budget.

The two tools of influence (lecture insight)

- The carrot: give stakeholders something they want — money, status, recognition, contract extensions
- The stick: use power or enforcement — legal pressure, contractual obligations, removal from role
- In M&A; (mergers and acquisitions): senior managers who resist are typically compensated with golden handshakes (carrot) or removed by the board (stick)
- Power ultimately comes from control of resources — financial, knowledge, physical, or relational

Part 3

Agency theory and the principal-agent problem

In most large organisations, the people who own the company (shareholders) are not the people who run it (managers). This separation creates a fundamental problem: how do you ensure managers act in the owners' interests rather than their own?

Key concepts — agency theory (Jensen & Meckling, 1976)

- Principal: the owner(s) of the organisation — shareholders
- Agent: the person hired to manage on the owner's behalf — the CEO and management team
- Agency problem: the agent may act in their own interest (higher bonus, lower risk, easier life) rather than the principal's interest (maximum long-term value)
- Agency costs: the costs incurred to monitor and control the agent — audits, board meetings, performance reporting, incentive structures
- Classic solutions: pay managers with shares (align their interests with owners'); create a board of directors to monitor the CEO; enforce reporting and transparency obligations

REAL-WORLD EXAMPLE — THE 2008 FINANCIAL CRISIS

Bank executives (agents) were paid enormous bonuses based on short-term profits from complex financial products. Their personal incentive was to take maximum risk because the upside was huge bonuses and the downside (bank collapse) was borne by shareholders, employees, and taxpayers — not the executives personally. This is the agency problem at catastrophic scale. The solution — aligning bonuses with long-term performance, clawback provisions, regulatory oversight — comes directly from agency theory.

Promotion and merit — a cultural contradiction

- Most organisations claim to promote on merit (skills, performance, results)
- Data shows: in Europe and North America, 78% of senior roles are held by men — if pure merit were applied, the ratio should approach 50/50
- In reality: the closer to the top, the more promotion is influenced by similarity, relationship, and cultural fit rather than pure merit
- Why? CEOs and senior leaders prefer people who will not challenge them — a highly meritocratic team around the CEO creates internal competition and friction
- This contradiction between stated values and actual behaviour is a core symptom of cultural misalignment — and exactly what cultural analysis should uncover

Part 3b

Corporate governance — structure and ownership models

Corporate governance is the system of rules, controls, and accountability mechanisms that determine how organisations are directed and controlled. The ownership model of a company fundamentally shapes its governance and the strategic recommendations that are appropriate for it.

Ownership type	Description	Strategic implications
Publicly quoted (PLC)	Shares traded on a stock exchange. Anyone can buy ownership. Highest transparency requirements — must publish accounts, comply with listing rules.	Strongest corporate governance obligations. Decisions scrutinised by markets, analysts, and media. Short-term pressure from quarterly earnings.

Private company	Not publicly listed. Owned by founders, private equity, or small groups. Not required to publish accounts.	More strategic freedom. Less short-term pressure. Less access to capital. Harder to benchmark performance externally.
State enterprise	Owned wholly or partially by government. Typically in strategic sectors — transport, energy, ports.	Political considerations affect strategy. Profit may be secondary to public service obligations.
Family business	Owned and often managed by family across generations. Family identity tied to the company.	Very unlikely to sell. Long-term orientation. Culture is very strong and persistent. Difficult to recommend structural changes.
Entrepreneurial	Founder-led, often early stage. Founder has disproportionate control.	Culture mirrors founder's personality. Strategy highly dependent on founder's vision. Succession is a major risk.
Co-operative (employee-owned)	Employees are also owners. Common in agriculture, retail (e.g. John Lewis).	High employee engagement and loyalty. Decision-making can be slow due to collective ownership. Profit distributed among members.
Not-for-profit / NGO	Primary mission is social or environmental. Profit is reinvested not distributed.	Cannot recommend profit-maximisation strategies. Performance measured against social impact metrics.
Partnership	Co-owned by a group of professionals (law, accounting, architecture, medicine).	Partners have equal say. Difficult to scale. Assets are knowledge-based, not physical.

For your assignment: identify the ownership model of your chosen company early. It constrains every strategic recommendation you can realistically make. You cannot recommend an IPO to a family business that has held the company for 100 years, or recommend profit maximisation to an NGO.

THE BOARD OF DIRECTORS — SEPARATING DECISIONS FROM EXECUTION

In well-governed companies, there is a deliberate separation: Board of Directors → responsible for STRATEGIC decisions: what the company should do, CEO appointment and oversight, major investments, risk management Management (CEO + executive team) → responsible for EXECUTION: implementing the strategy, day-to-day operations This separation reduces the risk that the CEO uses their position to make decisions that benefit themselves (agency problem). The board's job is specifically to monitor and hold the CEO accountable — which is why it matters that board members are genuinely independent and not simply the CEO's friends. Example: Elon Musk's compensation package at Tesla was voided by a Delaware court in 2024 because the board — largely appointed by Musk himself — lacked the independence to negotiate at arm's length on behalf of shareholders. Classic agency problem.

Moving from shareholder to stakeholder theory leads directly to the concept of CSR — the idea that organisations have obligations beyond profit that are equally important strategically.

The Triple Bottom Line — People, Planet, Profit

- Profit: the organisation must generate financial returns — without this it cannot survive or serve anyone
- People: fair treatment of employees, customers, communities, and supply chain workers — living wages, safe conditions, no exploitation
- Planet: operating without destroying natural resources for future generations — emissions, waste, biodiversity, water use
- Sustainability = meeting today's needs without compromising tomorrow's generation (Brundtland Commission, 1987)
- Tension: reducing carbon emissions costs money (conflict between Planet and Profit); paying fair wages reduces margin (conflict between People and Profit)
- The strategic challenge is balancing all three — not optimising one at the expense of the others

REAL-WORLD EXAMPLE — PATAGONIA

Patagonia is arguably the most advanced example of triple bottom line in practice. In 2022, founder Yvon Chouinard transferred ownership of the entire company — valued at \$3 billion — to a trust and non-profit dedicated to fighting climate change. Every dollar of profit that is not reinvested in the business goes to environmental causes. The company also actively tells customers to buy less ('Don't buy this jacket' campaign). Revenue has grown consistently regardless — demonstrating that strong environmental values can be commercially viable.

CONTRAST — GREENWASHING

Many companies claim CSR credentials without substance. Shell published a 'net zero by 2050' strategy while simultaneously lobbying against climate legislation and expanding fossil fuel extraction. A Dutch court in 2021 ordered Shell to cut emissions 45% by 2030 — ruling their CSR commitments were not legally binding and their actual behaviour was inconsistent with the Paris Agreement. Lesson: the cultural web test applies here — look at what a company actually rewards and funds, not what it says in its sustainability report.

Organisational culture

- Culture = the ideology of the firm — shared beliefs and behaviours that guide action without instruction
- Shaped by geography and history; founded culture tends to persist
- Culture's power comes from its stability — but stability becomes a liability when the environment changes
- Framework: Cultural Web (stories, symbols, power structures, organisational structure, control systems, rituals and routines)
- Formula: $B = f(P \times E)$ — change the environment to change the behaviour
- Difficult to assess from outside the organisation — not a core assignment focus but important to understand

Stakeholder theory

- Stakeholders = anyone who affects or is affected by the organisation (broader than shareholders)
- Shift from shareholder theory (profit only) to stakeholder theory (profit + people + planet)
- Triple Bottom Line: Profit, People, Planet
- Stakeholder mapping: Power/Interest matrix — different stakeholders matter differently on different issues
- Two tools of influence: carrot (incentives) and stick (power/enforcement)
- Resources = the source of power

Corporate governance and agency theory

- Agency problem: managers (agents) may not act in owners' (principals') interests
- Solutions: share-based pay, independent boards, transparency requirements
- Ownership model shapes strategic options — identify it before making recommendations
- Separation of strategic decisions (board) from execution (management) reduces agency risk
- Cultural contradiction to watch: stated values vs actual promotion/reward behaviour
- CSR = the practical application of stakeholder theory; Triple Bottom Line = the measurement framework

Key readings referenced in lecture

- Jensen & Meckling (1976) — Theory of the Firm: Managerial Behaviour, Agency Costs and Ownership Structure
- Freeman (1984) — Strategic Management: A Stakeholder Approach (foundation of stakeholder theory)
- Charles Handy — Understanding Organisations (four cultural types: Power, Role, Task, Person)
- Johnson & Scholes — The Cultural Web (six elements of organisational culture)
- Case study for next class: Stitch Fix CEO interview — read in advance